



**JABATAN PEMBANGUNAN KEMAHIRAN
KEMENTERIAN SUMBER MANUSIA
ARAS 7 & 8 BLOK D4, KOMPLEK D
PUSAT PENTADBIRAN KERAJAAN PERSEKUTUAN
62530 PUTRAJAYA**

KERTAS PENERANGAN (*INFORMATION SHEET*)

KOD DAN NAMA PROGRAM / <i>PROGRAM'S CODE AND NAME</i>	Z-009-4:2015 CORE ABILITIES	
TAHAP / LEVEL	4 (FOUR)	
NO. DAN TAJUK KEBOLEHAN TERAS / <i>CORE ABILITY NO AND TITLE</i>	CA05 STRATEGIC THINKING SKILL	
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TAJUK/TITLE : BUDGETARY ALLOCATION PROCEDURES

TUJUAN / PURPOSE :

This information sheet is intended to describe about budgetary allocation procedures in the organization. The person who is competent in this CA shall be able to ensure budgetary control procedures within the organization with appropriate solutions.

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PENERANGAN/INFORMATION :

1 Introduction To Budgetary Allocation Procedures

1.1: A budget is a financial plan used to estimate revenues and expenditures for carrying out specific activities in a given period of time. It is a management and planning tool, not just an accounting document. A budget is used for planning and performance measurement purposes, which can involve spending for fixed assets, rolling out new products, training employees, setting up bonus plans, controlling operations, and so forth. Typically, budgets are divided into allocation components. These are often based on the organization's core priorities. For example, in a university setting, typical components are student enrollment and research.

1.2: Budgetary control is a control technique whereby actual results are compared with budget. Any differences (variances) are made the responsibility of key individuals who can either exercise control action or revise the original budgets. So these enable managers to monitor organizational functions.

Budgetary control can be defined as a system of management control in which actual income and spending are compared with planned income and spending, so that you can see if plans are being followed and if those plans need to be changed in order to make a profit.

1.3: The process flow for budget are shown at figure 1.

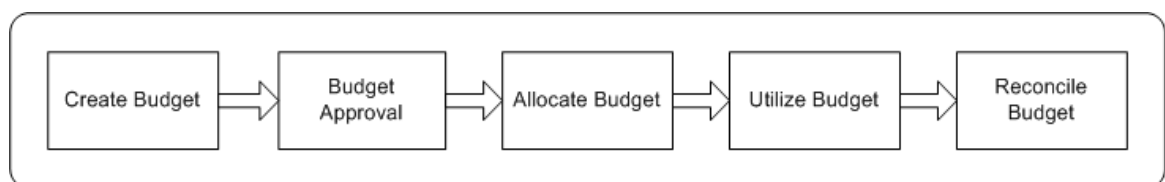


Figure 1 – Process flow for budget

i. Budget Creation

A budget is a pool of funds that you can use to execute organization activities.

ii. Budget Approval

After creating a budget, it must submit it for approval. Budget approval is the

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process by which the designated approvers approve the budget. During the budget approval process, the approvers may approve, reject, or put the request on hold.

iii. Budget Allocation

Budget allocation involves distributing funds from the budget.

iv. Budget Utilization

A budget gets utilized through budget requests and budget transfers. A budget transfer involves transferring funds from one budget to another.

v. Budget Reconciliation

The budget can be reconcile after all the offers that are associated with a budget are closed, and a budget is no longer required. If there are any active offers that are associated, the offers must be closed before reconciling the budget.

2. Budget Objectives

2.1: Provide structure.

A budget is useful for giving a company guidance regarding the direction in which it is supposed to be going. Thus, it forms the basis for planning what to do and what to impose a budget on a company that does not have a good sense of direction.

2.2: Predict cash flows.

A budget is useful for predicting cash flows in the future.

2.3: Allocate resources.

Some organizations use the budgeting process as a tool for deciding where to allocate funds to various activities, such as fixed asset purchases.

2.4: Measure employee performance.

A budget can be used as the basis for judging employee performance.

2.5: Provide a forecast of revenues and expenditures.

Its construct a model of how a business might perform financially if certain strategies, events and plans are carried out.

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2.6: Establish the cost constraint for a project, program, or operation.

2.7: Helps co-ordinate the activities of the organization by compelling managers to examine relationships between their own operation and those of other departments.

3. Budget Strategies

There are four different budgeting styles to consider:

3.1: Classic categories

The classic budgeting style is to sit down, figure out your income, and then assign spending limits to your most common expense categories. The idea is to try to limit the spending in each category.

3.2: Zero-based

With this budgeting style, you give every dollar a job. It's very regimented, and works best for those who know exactly how much money is coming in each month, and when it comes in. You account for all of your spending ahead of time, in an effort to come to zero each month.

3.3: Envelopes

One of the best ways to keep track of your spending is to use the envelope system, and pay for everything in cash. The idea is to set up envelopes, labeled with categories, for variable spending. Once the cash is gone from the appropriate envelope, you are done. You can move cash from envelope to another, but you don't get more cash from your account. This forces you to spend conscientiously, carefully thinking through your purchases.

3.4: Priority-based

All of important priorities are covered first, and then just spend until the rest is gone for the month. This requires that to track a spending so that it don't overdraw the account, but it doesn't require to set up limiting categories.

4. Budget Allocation

4.1: A budget allocation is the amount of funding designated to each expenditure line. It designates the maximum amount of funding an organization is willing to spend on a given item or program, and it is a limit that is not to be exceeded by the

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employee authorized to charge expenses to a particular budget line. Budgetary allocations are integral components to an annual financial plan, or budget, of all

organizations. They indicate the level of resources an organization is committing to a department or program. Without allocation limits, expenditures can exceed revenues and result in financial shortfalls. Anyone working with budgets should understand how they are used and the limitations they provide.



Figure 4.1a – Total Budget Allocation

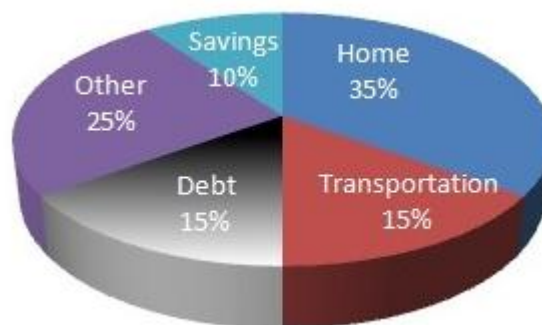


Figure 4.1b – Budget Allocation Of Income

4.2: Budget Category Allocations

Budgets are usually divided into departments and program units. This allows for easier identification of the resources allocated to specific programs and functions. Each category can be made of several budget allocations, referred to as line items, for the specific needs necessary to support the program or overall department operation.

4.3: Adjusting Budgetary Allocations

Budgetary allocations might not always be sufficiently estimated. This can happen

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when adequate funding for predictable or reoccurring expenses are not included in the budget. This might require the budget to be modified after adoption to account for the shortfall. Typical corrections will include transferring funds from other allocation categories or from the organization's surplus, sometimes referred to as

savings. Just as budgetary allocation estimates can be insufficient, revenues can be underestimated. Insufficient revenues might require the need to reduce budgetary allocations in order for expenditures not to exceed revenues at the end of the budget year.

4.4: Monitoring Budgetary Allocations

Budgetary allocations should be routinely monitored to ensure the amounts budgeted are sufficient to meet expenditures. It is important to have a tracking system in place for all purchase orders and bills. The purchase orders and bills should be matched regularly against the budgetary allocation to ensure sufficient funds exist for the remainder of the budget year.

5. Budget Allocation Process

After a budget is approved and active, it can distribute funds down to the unit. This process of allocating funds down to the unit is called budget allocation. Each of the unit can use their funds to execute activities.

For example, an active budget has \$75,000. You can allocate funds among these territories based on the demand in each of these territories as shown in Figure 4.

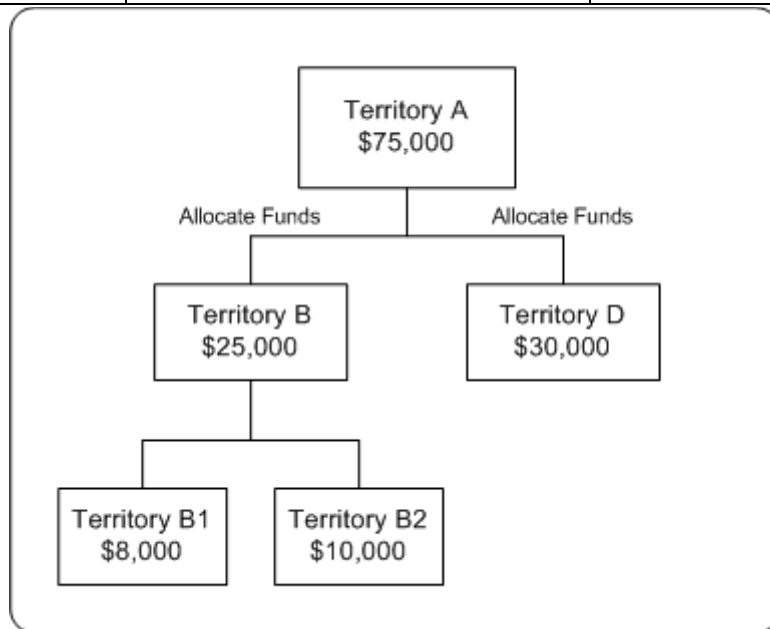


Figure 5 – Budget allocation

Territories can be arranged in a hierarchy. It can allocate a fixed budget down a particular territory hierarchy. Budget allocation enables to establish a top-level value for allocation funds and distribute the roll-down values to the lowest hierarchy levels. When the allocation is complete, a budget hierarchy, which is similar to the territory hierarchy is created. The primary person in each territory becomes the budget owner. The other team members in the territory become team members of the budget. During budget allocation, it can perform the following actions:

- i) Specify holdback amounts or holdback percentage at each level of the hierarchy
- ii) Edit allocations
- iii) Transfer funds
- iv) Release holdback funds

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SOALAN/QUESTION :

1. What is a budgetary control?
2. How budgetary process occur?
3. Explain briefly the process of budget allocation?

RUJUKAN / REFERENCES:

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2. en.wikipedia.org/wiki/Budget
3. <http://smallbusiness.chron.com/budgetary-allocation-31340.html>